

QED | SHANKAR AIYAR

The Black Hole

It is not often that Indian elections produce an issue which travels beyond the posters. The BJP has produced an idea that has found traction across classes and geographies. The opposition may quibble about the sums involved and legal eagles may question the feasibility of the mission, but the power of the idea is undeniably proselytistic. The promise to bring back wealth stashed in Swiss banks by Indians is the stuff that inspires blockbusters. A poor victim, honour to be avenged, unimaginable wealth at the other end of an email, a cast of do-gooders and a villain conveniently vague and seemingly foreign.

Truth be told, the villains are all from India and the problem is very Indian. The money in the Swiss banks, or other tax havens, is the product of the Indian system. Inspector-control raj, liberalisation without regulation and crony capitalism masquerading as private-public-partnership combine to keep alive a parallel economy estimated to be 30 per cent of the trillion-dollar GDP. So why isn't anyone talking about black money in India? Is it because India has given up the ghost? It cannot afford to if it is serious about targeting money stashed abroad. Scrutiny, like charity, will have to begin at home. And that calls for reforming the way India is governed.

Black money is being created at every level of the Indian economy, thanks to the discretionary power vested in babus and politicians. Every rule has the potential of becoming a meal ticket. Public sector projects are routinely delayed and cost more. Barely 10 per cent of the money spent on alleviating poverty reaches the poor. There is no fear because no one barring Harshad Mehta has been convicted since the 1987 Bofors scam.

Obviously the patronage is not without a price or political protection. Nor is it all old fashioned cash or even benami. Politicians are now known to get companies or contractors to pay up innovatively. In Andhra Pradesh, this could mean investing at a premium into a family business. In Mumbai, it could translate into a stake in an airline. Kickbacks could also travel abroad through importers and come back as Participatory Notes into the stock market or equity in an infrastructure project via Mauritius.

In virtually every domain, India has two economies—white and black. India is the ultimate liquid economy. You can earn in cash, invest in cash and get returns in cash. And such is the interoperability in the system that black money can mutate and migrate in and out of the legitimate system at will. If India wants to be taken seriously in its pursuit of illicit wealth stashed abroad, it must first tackle the generation of black money at home. If it doesn't take the idea to its logical breadth, the idea will be reduced to a slogan and India risks being counted among Third World sloganeers.



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SIGNPOSTS

CONFERRED: On Shamshad Begum, 90, one of Bollywood's first playback singers, the Phalke Golden Singer Award. She sang hits like *Kajra mohabtwala* and *Leke pehla pehla pyar*.



DIED: Marathi writer and literary critic who authored 50 books, Ram Balkrishna Shewalkar, 78. He was president of the Vidarbha Sahitya Sangh and of the All-India Marathi Sahitya Sammelan.

AWARDED: To Bina Agarwal, the Leontief Award 2009 for her contribution to economic theory. She is professor of economics at the Institute of Economic Growth, Delhi. The award is given by the Global Development and Environment Institute at Tufts University, US.

DIED: Virendra Verma, 93, former Punjab and Himachal Pradesh governor and Lok Sabha member.

